Wendt India Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: WENDT · Report prepared 21 Aug 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public financials, annual filings, credit-rating rationales and news record. This company holds no earnings calls — see Section 2.

1 Snapshot

Wendt India makes **superabrasive** tooling — a superabrasive is an extremely hard cutting material, chiefly synthetic diamond and CBN (cubic boron nitride) — plus the CNC grinding machines that use it and precision ground components; it is a 45-year-old Hosur, Tamil Nadu plant, now the only listed Murugappa-group company in this niche after its German co-promoter sold out in May 2025.

Item	Number	What it means in plain words
Market value / share price	₹1,628 Cr / ₹8,122	A small company with a very large price tag per share.
Shares in issue	20 lakh (2.0 million)	The whole company is only two million shares. That is why one share costs ₹8,000-plus — it signals nothing about size or quality, only that the share was never split. It also means the stock trades thinly and moves violently.
FY26 revenue (standalone)	₹206.5 Cr, −3%	Sales went backwards. Revenue is now roughly where it was in FY24 — three flat years.
FY26 profit after tax	₹22.8 Cr, −41%	Profit nearly halved on a 3% sales fall. Costs did not come down with volume.
FY26 operating margin (EBITDA %)	19.3% (was 24.1%)	EBITDA = profit from trading before interest, tax and depreciation. Down ~880 basis points from the FY23 peak of 28%.
Return on capital (ROCE)	11.9% (33% in FY23)	ROCE = operating profit divided by all money invested in the business. It has fallen by two-thirds in three years — the company spent capital and earnings fell.
Q1 FY27 (Jun 2026)	Sales ₹61.2 Cr **+31%**; PAT ₹8.0 Cr **+62%**	A genuine, sharp rebound — but see Section 2b: much of it is last year's delayed machine orders finally shipping.
Exports	20% of turnover; 35 countries	Four-fifths of the business is domestic India. Exports actually *shrank* 4% in FY26.
Debt / credit rating	Nil debt; ICRA AA− / A1+	No borrowings at all; ₹40.8 Cr parked in debt mutual funds. Financially unbreakable at this size.
Ownership	CUMI 37.5%; public 62.5%	Wendt GmbH (owned by 3M) dumped its entire 37.5% in a May 2025 offer-for-sale at ₹6,500 — a ~38% discount to the then market price. Only CUMI remains.

2 Coverage — and why this is not a concall report

⚠ NO CONCALL TRANSCRIPTS — GLOBAL WEB DEEP-DIVE INSTEAD

No concall transcripts were available on Screener — this report is based on a global web deep-dive.

Screener lists only four conference-call entries for Wendt India (three in Feb–Mar 2025, one in May 2025); none yields a working transcript, and the newest is over **fifteen months old**. The local transcript store is empty. Checking the company's own investor-relations index confirms why: Wendt filed quarterly results for all four quarters of FY26 and for Q1 FY27, but posted **no call intimation, no call transcript and no quarterly earnings presentation** after

May 2025. The company does not hold earnings calls. Everything below is drawn from annual reports, the AGM record, exchange filings, a credit-rating rationale and trade press.

Sources actually used. (1) Screener.in company page for WENDT — profit & loss, quarters, balance sheet, ratios, cash flow, shareholding, and the concall/document listing. (2) **Wendt (India) Annual Report FY2025-26 (44th)**, wendtindia.com — Management Discussion, segment results, capex note, R&D note, BRSR. (3) **44th AGM Presentation, August 2026** — the most recent substantive company disclosure; carries FY26 and Q1 FY27 tables and the capex line. (4) **43rd AGM Transcript, 21 July 2025** — the last recorded management Q&A of any kind. (5) Investor Presentation for Roadshow, May 2025 — segment mix, capacity utilisation, export share. (6) Board-meeting outcome filings of 24 April 2026 (FY26) and 24 July 2026 (Q1 FY27). (7) **ICRA rating rationale on Wendt (India) Limited, 15 April 2025** (AA–/A1+ reaffirmed) — capex plan, customer concentration, liquidity. (8) Business Standard / Capital Market, ScanX, Business Upturn and MarketsMojo result reports for FY26 and Q1 FY27. (9) Business Standard and Upstox coverage of the Wendt GmbH offer-for-sale, May 2025. A June 2026 ICRA update is listed on Screener but its rationale was not retrievable; the FY26 annual report records the rating as AA– with a positive outlook.

Latest update highlights — Q1 FY27 (quarter ended 30 June 2026)

- **Sales ₹61.2 Cr, up 31% year on year; PAT ₹8.0 Cr, up 62%; EBITDA margin 21% against 18%.** The strongest quarter in six. (Board outcome filing 24 July 2026; 44th AGM Presentation, Aug 2026)
- **The engine was the machine-tool division, not superabrasives.** Machines & Accessories jumped from ₹4.3 Cr to ₹11.7 Cr — nearly a tripling. Superabrasives grew a more ordinary 15% (₹36.0 Cr to ₹41.5 Cr); precision components were flat at ₹7.6 Cr. (Q1 FY27 filing, segment schedule)
- **Management's own explanation is catch-up, not new demand:** the top line improved on "sales and marketing initiatives and backlog machine orders". These are largely the FY26 dispatches customers had refused to clear — ₹9.6 Cr of finished machines sat in the yard at 31 March 2026 awaiting customer clearance. (44th AGM Presentation; FY26 Annual Report, inventory note)
- **Domestic sales +38%, exports only +7%.** The recovery is an India recovery. Exports remain the weak leg. (Board outcome filing 24 July 2026)
- **The overseas arms lost money.** Foreign subsidiaries turned over ₹11.4 Cr but posted a net loss of ₹1.4 Cr, which is why *consolidated* PAT (₹6.2 Cr) is *lower* than standalone PAT (₹8.0 Cr). The new German subsidiary is still a cost, not a contributor. (Q1 FY27 consolidated filing)
- **Governance context:** the 44th AGM was held 24 July 2026 and its presentation posted in August 2026. No earnings call accompanied the result, and no AGM transcript for 2026 has been published yet. (wendtindia.com investor index)

Business mix & capacity. FY26 standalone segments: **Superabrasives ₹147.6 Cr (+5%)** — domestic superabrasives grew 9% to its highest ever, exports fell 5%; **Machines ₹29.0 Cr (–34%)** — only 43 machines built all year, the collapse that caused FY26; **Precision components ₹29.9 Cr (+7%)** on fuel-pump parts. About 80% of superabrasive sales are custom-engineered, 20% standard (43rd AGM). End markets, from the last management disclosure: auto and auto components ~34% of domestic sales, bearings 8-10%, cutting tools ~7-10%, engineering ~10%; defence and aerospace still "low single digits". Roughly 1,400 customers; top ten were 32.7% of revenue in FY24, so no single-customer risk. One plant (Hosur, 16.28 acres, 396 permanent employees), one Thai unit, one Pune insert-grinding unit, one new German selling company. **Capacity utilisation is not disclosed for FY26 or Q1 FY27** — the only figures ever published are from the May 2025 roadshow deck: resin bond 70%, metal bond 77%, vitrified 87%, rotary dressers 89%, electroplated 75%. Order book, order intake and volume-versus-price splits are **never disclosed**. On price versus volume the one honest clue is in the FY26 annual report: the company took "calibrated pricing measures in certain markets to sustain volumes... which had an impact on margins" — it cut price to defend volume.

3 Is there a durable earning trigger?

The five-year read, then the verdict on the trigger

Standalone: FY22 ₹158 Cr sales / 24.1% EBITDA margin / ₹27.1 Cr PAT → FY23 ₹191 Cr / **28.1%** / ₹40.1 Cr → FY24 ₹206 Cr / 26.1% / ₹39.5 Cr → FY25 ₹212 Cr / 24.1% / ₹38.3 Cr → FY26 ₹206 Cr / 19.3% / ₹22.8 Cr.

Plain read: the whole story is FY23. Post-Covid restocking took sales up 21% and margin to a freak 28%, and profit has been eroding ever since — three years of flat revenue (₹206 Cr → ₹212 Cr → ₹206 Cr) while margin gave back nine percentage points and profit fell 43% from its peak. FY26 is not a demand shock; it is one division (machines, −34%) collapsing on deferred customer capex while employee cost, depreciation on the ₹35 Cr brand purchase and price concessions all pushed the other way. The real growth engine, domestic superabrasives, has quietly done its job throughout. What Wendt has *not* shown in four years is the ability to grow revenue at all.

Trigger	What the public record says	Evidence so far	Horizon	Strength
Machine-tool normalisation	FY26 machine sales fell 34% purely on customers deferring capex and refusing dispatch clearance; ₹9.6 Cr of built machines were stuck in inventory at year-end.	Strong. Q1 FY27 machines nearly tripled to ₹11.7 Cr, and management names "backlog machine orders" as the cause.	Already happening; 2-3 quarters	**Strong**
Peripheral grinding machines	FY26 report: technology transfer and team training for peripheral grinding machines completed, "enabling entry into new business opportunities". Aimed at regaining share in carbide-insert machines.	Capability exists; not one rupee of revenue disclosed. A real product entry with no disclosed order book.	2-4 years	**Medium**
Solar-glass grinding wheels	The one new market management said it had actual visibility in (43rd AGM). FY26: a dedicated manufacturing setup for solar-glass grinding wheels was established "with scalable capacity".	Genuine and specific — the plant is built. India's solar-glass build-out is real. But no revenue figure has ever been given.	2-4 years	**Strong**
Owning the "Wendt" brand + a German selling arm	Bought the brand and 60 trademarks in 40 countries outright from Wendt GmbH for EUR 3.8m (₹35.1 Cr), paid March 2025, explicitly to sell into geographies "where Wendt presently did not have the global sales". A wholly-owned German subsidiary followed.	Weak so far, and expensive. FY26 exports *fell* 4%; the German entity is loss-making; consolidated profit is below standalone. ₹35 Cr of amortising intangible against no export growth.	3-5 years	**Weak**
Semiconductor & medical superabrasives	R&D running on wafer back-grinding, dicing and ingot wheels, and on orthopaedic-implant bonds. Management put the addressable domestic market at ~$45m today growing ~17% to $110-120m over 3-5 years.	Management was refreshingly blunt at the 43rd AGM: on semiconductor and medical, "we do not have visibility as yet... still at an early stage". R&D spend did rise to 3.74% of sales.	4-7 years	**Medium**
Domestic superabrasives share gains	Highest-ever domestic superabrasive sales in FY26 (+9%) in a year everything else fell. 80% custom product, market share reportedly up to 68% in some sub-segments, no product overlap with parent CUMI.	The most reliable thing in the business. But it is a ~$45m addressable market and Wendt is already the leader — the ceiling is low without the new segments above.	Ongoing	**Strong**

4 Management consistency scorecard

Read this first — how weak this evidence is

A normal consistency check works because management makes a claim on a quarterly call and analysts come back the next quarter and press them on it. **Wendt gives nobody that chance.** Every "promise" below is reconstructed from an annual report, an AGM presentation, a rating agency's write-up of what the company told it, or a once-a-year AGM — not from management being tested in real time. There is no forum in which a wrong number gets challenged, so drift can go unremarked for years. Treat this table as **directional only**. It is the weakest form of this analysis, and that is the company's choice, not an accident of coverage.

Period	Promised / stated	What happened	Verdict
Jul 2025 43rd AGM Q&A	An investor asked directly for "a quarterly or a half yearly con call with investors", noting the AGM "is the only forum in a year we get to meet the management". The Chairman replied that the AGM gives "sufficient opportunity" and "we are not considered any kind of a quarterly investor meet or other things at this point of time".	**Kept — and that is the problem.** Thirteen months on, no call has been held. Four quarters of results, including a 41% profit collapse and a CEO change, went out with no forum for a single question. Management was honest about refusing; it refused all the same.	NO consistent, but against shareholders
Apr 2025 ICRA rationale, from company guidance	"Regular annual capex of about Rs. 20-25 crore during FY2026 and FY2027", funded from internal cash.	**Missed by a wide margin.** FY26 capex was **₹8.0 Cr** — about a third of the low end. Management reframed it in the AGM deck as "prudent utilization of Capex in view of unfavorable business environment". Defensible as management, but the stated plan was abandoned without explanation to the people who were told it.	NO
May 2025 Roadshow deck	Key focus area: "Accelerate export sales by focusing on six high potential countries". Exports were 21.9% of standalone sales.	**Went backwards.** FY26 exports fell 4% to ₹41.9 Cr (superabrasive exports −5%); export share slipped to 20%. Q1 FY27 exports grew only 7% against 38% domestic. Blamed on customer offtake and trade conditions — both real, but the target was missed.	NO
Mar 2025 Brand purchase	The ₹35.1 Cr brand acquisition "will give us a leverage to get the export market in newer [geographies] where Wendt presently did not have the global sales" (CFO, 43rd AGM).	**Unproven and currently loss-making.** Eighteen months on: exports down, a new German subsidiary whose "initial operating Expenses" management itself blames for consolidated EBITDA falling 39%, and ₹35 Cr now amortising through the profit and loss (depreciation ₹10 Cr → ₹14 Cr). The strategic logic is sound; the payoff has not started.	TOO EARLY
Jul 2025 43rd AGM	On new markets, management drew a clear line: solar glass — "we have visibility"; semiconductor and medical — "we do not have visibility as yet", still early stage.	**Honest and then delivered.** The FY26 report confirms a solar-glass grinding-wheel manufacturing line was actually built with scalable capacity, and does *not* over-claim on semiconductor. This is the single cleanest instance of said-then-did in the record.	YES
FY25 → FY26 R&D commitment	Repeated positioning that in-house R&D replaces the German technology link (the technical collaboration agreement lapsed back in 2012, long before the shareholding exit).	**Followed through.** R&D spend rose from ₹5.6 Cr (2.62% of sales) to ₹7.7 Cr (3.74%) — increased in absolute terms in a year when profit fell 41%. Cutting R&D would have been the easy way to protect the number; they did not.	YES
Jul 2025 → Jan 2026 Leadership	CEO Ninad Gadgil's resignation was disclosed on AGM day itself; the Chairman said "the initiation has been done and we will let you know at appropriate point of time about the new CEO".	**Slow.** Amit Ingale took over as Executive Director & CEO only on 19 January 2026 — roughly six months of drift, spanning the worst two quarters in five years. Sales & marketing head and HR head also turned over. Filled eventually, but a small company was leaderless through its own downturn.	PARTIAL
FY22 → FY26 Dividend	An unbroken dividend record is a stated pillar of the equity story; payout was 650% of face value in FY22, 800% in FY23, 500% in FY24 and FY25.	**Record intact, amount cut hard.** FY26 dividend was ₹30 per share (300%), down from ₹50 — a 40% cut, tracking earnings honestly rather than borrowing to flatter shareholders. Payout ratio held near 26%. Defensible, but the "unbroken" framing hides a shrinking cheque.	PARTIAL

5 Bottom line

Earning trigger: QUALIFIED YES — REAL BUT NARROW, AND NOT YET THE ONE BEING PRICED

There is a genuine near-term trigger and it is already visible: the machine-tool division that destroyed FY26 has snapped back, tripling in Q1 FY27, and there is a disclosed ₹9.6 Cr of finished machines that were sitting unshipped at March-end. That mechanically lifts the next two or three quarters. Behind it sit two credible medium-term engines — a purpose-built solar-glass grinding-wheel line, and peripheral grinding machines whose technology transfer is complete — plus the most dependable part of the business, domestic superabrasives, which grew 9% to a record even in a bad year. That is a real trigger. But be clear what it is not. It is a **recovery to roughly ₹230-240 Cr of revenue, not a growth story**: standalone sales have gone ₹206 Cr → ₹212 Cr → ₹206 Cr over three years, ROCE has fallen from 33% to 12%, and the two triggers investors actually pay 63 times earnings for — semiconductor/medical superabrasives, and the Europe expansion bought with the ₹35 Cr brand purchase — are respectively pre-revenue by management's own admission and currently loss-making. Exports, the whole point of owning the brand, shrank in FY26. The balance sheet is impeccable (zero debt, ₹40.8 Cr in liquid funds, AA–), so the company has every ability to fund the wait; the evidence that the wait ends in a step-change simply does not exist in the public record yet.

Management consistency: NO — AND DELIBERATELY UNTESTABLE

The record is mixed on substance and poor on accountability. On substance, management earns real credit twice: it refused to over-claim on semiconductor and medical when it would have been easy to, and it raised R&D spend to 3.74% of sales in the same year profit fell 41%. Against that, the two hardest, most checkable commitments were both missed — a stated ₹20-25 Cr annual capex plan delivered at ₹8 Cr, and a stated export acceleration that turned into a 4% decline — and the ₹35 Cr brand purchase has so far produced falling exports and a loss-making German subsidiary. A six-month CEO vacancy ran straight through the worst quarters in five years. But the finding that governs everything else is this: **Wendt India is a listed company that has effectively stopped holding earnings calls.** There is no transcript in over fifteen months. At the July 2025 AGM an investor asked management, in as many words, to institute a quarterly or half-yearly call because the AGM "is the only forum in a year we get to meet the management" — and the Chairman declined outright, saying the company had "not considered any kind of a quarterly investor meet". Since then a 41% profit collapse, a margin fall of nearly nine points, a capex plan quietly abandoned, a dividend cut by 40% and a change of chief executive have all been disclosed by filing alone, with not one question taken. Outside shareholders own 62.5% of this company and have no forum in which to press management on any of it. That is not a data gap in this report — it is the central finding, and it caps how much confidence either verdict above can carry. A recovery quarter read from a filing is a fact; a durable earning trigger read from a filing is an inference, and here it must stay one.